liquidity management is a quintessential central bank function. Not only did he not consult me, but he had not even informed me of this before the notification was issued. Coming as it did amidst a lot of suspicion in those early weeks of my tenure that I was a government lackey sent to the Reserve Bank to act at the government's bidding, the constitution of this committee only reinforced the view.

I called up Chidambaram and let him know in unequivocal terms that his action was totally inappropriate, and requested firmly that he dissolve the committee. His argument was that when liquidity management was such a central concern, getting advice from external market participants would help us understand and respond to the ground reality in the market faster and better. I granted that, but if he wanted external experience to be tapped, he could have advised me informally to constitute such a committee rather than taking the Reserve Bank for granted. The call ended with my telling him that the Reserve Bank would not participate in the committee. This skirmish with Chidambaram, who I believed pushed my candidature for the governor's job, so early in my tenure upset me a lot. Little did I know that this set the tone for what would be an uneasy relationship between us in the last year of my term.

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The prime minister also held several informal discussions during these months and his office was invariably kind enough to schedule these meetings to suit my convenience. Most of these would be informal, involving just the finance minister and me, and occasionally, the finance secretary; a few times, the chairman of the Economic Advisory Council, Rangarajan, and Planning Commission Deputy Chairman Montek Singh Ahluwalia were also present. I was aware that such frequent meetings at the prime minister's level were unusual and were occasioned entirely by the crisis.

In general, Chidambaram believed that the crisis demanded more aggressive easing both on the policy rate and liquidity than I was